

Article | 12 June 2026

FX RATES UNITED STATES

Kevin Warsh navigates a hawkish Fed shift

Improved economic momentum and elevated inflation suggest the Federal Reserve will acknowledge the possibility of a future rate hike via new forecasts. New Chair Kevin Warsh isn't a fan of forward guidance though and will likely remain non-committal in his first press conference



We doubt that new Fed Chair Kevin Warsh will vote for a rate cut, despite Trump's demands for lower rates

Inflation and regained momentum swing hawkishly

Optimism is rising that we are inching closer to a deal to reopen the Strait of Hormuz, but even with a deal, global energy prices will likely remain elevated until at least early 2027. European and Asian inventory rebuilding will keep a strong bid in markets through the second half of the year. At the same time, uncertainty over the scale of damage to infrastructure in the region and the willingness of shipping companies to put their vessels back potentially into harms way, should the deal subsequently fail, limits supply. In consequence, we expect no real relief from higher prices this year.

The US economy is more insulated from Middle East risks than most countries due to its energy independence, but it is not immune. An abundance of natural gas and a lack of storage mean domestic prices have fallen, which is helpful for keeping utility bills in check. However, higher motor fuel costs are adding to cost pressures with spillover effects already in freight

rates and airline fares, with inflation breaching a three-year high of 4.2%.

Amid rising inflation, business surveys point to 2-2.5% GDP growth, the economy is adding jobs and equity markets are at record highs. Understandably, market expectations of potential Federal Reserve rate hikes have increased, with a 25bp rate hike priced in this year and around a 50% chance of a second such move next year.

Unanimous vote for stable rates

In terms of Wednesday's FOMC meeting, we expect the Fed to leave monetary policy unchanged, but we do expect a statement that puts greater emphasis on the possibility of an interest rate rise. Remember that last time, Stephen Miran, who has since vacated his governor position for newly appointed Fed Chair Kevin Warsh, voted for a rate cut while three other FOMC members – Beth Hammack, Neel Kashkari and Lorie Logan – wanted the removal of the perceived “easing bias”. The minutes to the meeting subsequently suggested more officials were uncomfortable with the language of the statement, and so we expect to see a unanimous vote in favour of keeping policy unchanged, but with a hawkish shift on language.

With Miran gone, we doubt that Kevin Warsh will choose to dissent against all the other 11 members by voting for a rate cut, despite his appointment as chair by a president who has demanded lower rates.

ING's expectations for the Federal Reserve's central projections

	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	2.0	2.4	2.1	2.0
Previous Fed projection (Mar)	2.4	2.3	2.1	2.0
Unemployment rate (% year end)	4.3	4.3	4.2	4.2
Previous Fed projection (Mar)	4.4	4.3	4.2	4.2
Core PCE inflation (4Q YoY%)	3.1	2.3	2.0	-
Previous Fed projection (Mar)	2.7	2.2	2.0	-
Federal funds rate (year end)	3.6	3.4	3.1	3.1
Previous Fed projection (Mar)	3.4	3.1	3.1	3.1

Source: Federal Reserve, ING

In the press conference, he will likely acknowledge that economic conditions do not justify rate cuts at this time. Nonetheless, he could reiterate his view that, in time, tech investment will boost US productivity, meaning faster growth without generating inflation. That would imply a lower neutral interest rate that justifies lower policy rates over the medium to longer term. He has also argued that the Fed's balance sheet is too large. He would like to shrink it relative to the size of the economy, which would be a de-facto tightening that can be offset by lower

policy rates.

Chair Warsh will also be questioned on updated Fed forecasts, which we expect to point to expectations of healthy growth and elevated inflation this year, with stable policy rates. But within the dot plot there may be more officials signalling that they think rates will be higher by the end of the year than there are those who think rates will be lower. However, Warsh has already suggested that the Fed talks too much and isn't a fan of forward guidance, so he will be keen to highlight that there are, in fact, two-sided risks and much can change between now and the end of the year.

An extended pause is our call

It is a very close call whether the Fed will hike rates this year, but on balance, we think it will instead choose to look through a near-term energy spike and hold rates steady for an extended period. The low-hire, low-fire economy means weak wage growth, with real household disposable income having fallen for three consecutive months. Consequently, elevated energy costs risk demand destruction that should help to dampen core inflation in time. Consumer and market inflation expectations remain in tolerable ranges and slowing housing rents, weak wage growth, a waning influence from tariffs and eventual energy price falls mean that inflation could undershoot the target in the second half of 2027. This environment should give the Fed room to resume moving policy rates back to neutral next year.

Now's the chance for Chair Warsh to walk the talk on balance sheet reduction

This is one meeting where the focus could well be on balance sheet and liquidity management. Kevin Warsh came into the job in the wake of various suggestions that the Fed should reduce the size of its balance sheet. We covered the issue [here](#), and noted that at the end of 2005, the Fed's balance sheet was about 5.5% of GDP. Roll on 20 years, in and out of the global financial crisis and pandemic, and it's now 21% of GDP (quadruple). The driver was bond buying. Total bonds held by the Fed were around 5.5% of GDP 20 years ago. That now equates to 20% of GDP (almost quadruple). Bank reserves were purely regulatory in nature and a puny 0.1% of GDP 20 years ago. Today's bank reserves are closer to 10% of GDP (100-fold).

Kevin Warsh wants to 'fix it', it seems. The technicalities could require the sale of all mortgage-backed bonds (US\$2tr) and at least half of the Treasury bonds (c.US\$2.5tr). So that's some US\$4.5tr in total, and would bring Fed bond holdings back down to around 5.5% of GDP (pre-GFC proportions). That in itself is big, and raises questions about a doable pace. On the other side of the balance sheet there is the complication of transitioning from the current excess bank reserves environment back potentially towards a scarce regulatory bank reserves environment. On the former, a Congress-legislated special purpose vehicle tasked with taking

the bonds off the Fed's balance sheet has been mooted (so they would not be "sold"). On the latter, an easing in bank liquidity ratios would be required.

For now, it's all quite speculative. But what we do know is Kevin Warsh can't simply sell bonds and stop there. He would need to address both sides of the balance sheet, and make regulatory changes to bank liquidity requirements. This is the kind of meeting from which we could well learn more about all of the above.

Dollar can hold gains

The FX market goes into this FOMC meeting in a mildly dollar-bullish frame of mind. In fact, it was the last FOMC meeting in late April and the dissent against the easing bias which laid the foundations for the dollar rally on better US data over the last six weeks.

A removal of the easing bias in Wednesday's statement is widely expected and, as usual, the market will probably react to the median expectation for the policy rate over coming years. This presumably could present some upside risks to the dollar.

When it comes to the press conference, it is probably too early to expect Chair Warsh to push back against market expectations of Fed tightening. After all, the economy and asset markets are already performing well in the face of this energy shock.

Our FX bias would be for the dollar to stay bid against the relative low yielders and whose central banks are trying to look through the inflation shock. Depending on what is happening to energy prices and the risk environment, pairs like USD/CAD and USD/SEK could stay bid, while GBP/USD could stay offered. EUR/USD may well press 1.15 again, but the prospect of another European Central Bank rate hike in July should provide some insulation.

Wednesday's FOMC will come a day after the Bank of Japan meeting. A BoJ rate hike to 1.00% is widely expected, but deeply negative Japanese real rates leave the yen vulnerable. A slightly hawkish FOMC meeting could send USD/JPY well above 160 again and elicit more intervention. Japanese authorities are well aware, however, that intervention is just a containment exercise until energy prices come a lot lower, markets start to think about Fed easing again, and Japanese real rates are much closer to neutral. That looks like a story for the end of this year at the earliest.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 11 June 2026

Lagarde keeps the door open for further ECB rate hikes

European Central Bank President Christine Lagarde's comments at the press conference kept the door to further rate hikes open



ECB President Christine Lagarde at today's press conference in Frankfurt, Germany. A second rate hike after today's decision now appears more likely

The ECB has done it. Today, it became the first major central bank to increase interest rates as part of the fight against stagflationary pressures triggered by the war in the Middle East. It opted for a 25bp hike, bringing the deposit interest rate to 2.25%.

To be clear, this rate hike is more of a symbolic move to signal the ECB's willingness and determination to avoid being too late in carrying out its policy response. It's not a rate hike that will derail the eurozone economy, but a decision made with clear communication and reputation in mind; the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates, as suggested by Chief Economist Philip Lane in a recent speech.

More stagflationary pressures in staff projections but no reason for aggressive hikes

During the press conference, ECB President Christine Lagarde mentioned the broadening of inflationary pressures and indirect effects as the main reason for today's rate hike. Still, we can't shake the idea that the ECB is actually fighting ghosts from the past – more

specifically, its reaction that came far too late in responding to the inflation shock in 2021 and 2022. Remember that, at the time, the central bank lingered too long on the idea that an inflation surge driven by supply shocks was 'transitory' and could be looked through. If not for the experience of 2022, "transitory" could well be the label used today. So far, the increase in headline inflation has remained moderate. And while the knock-on effects of higher energy prices on other prices (e.g., transportation and food) will be hard to avoid, the latest survey-based inflation expectations have actually come down slightly.

This relatively well-behaved inflation trajectory is also reflected in the ECB's latest staff projections. Headline inflation is expected to come in at 3.0% this year, 2.3% in 2027 and 2.0% in 2028, slightly up from the March projections. Similar to our own forecasts, ECB staff expect inflation to drop below 2% in the second half of 2027. The GDP growth forecasts come in at 0.8% in 2026, 1.2% in 2027 and 1.5% in 2028, slightly down for 2026 and 2027 compared with the March projections. However, these growth forecasts have not incorporated the recent downward revision of first-quarter growth, meaning that the risk to this growth outlook is even more tilted to the downside than the ECB currently thinks. Overall, this is not a forecast that immediately calls for aggressive rate hikes.

Were there any other signals during the press conference?

During the press conference, Lagarde refuted the phrase 'insurance rate hike', claiming that today's move was nothing of the sort. She did so with almost the same verve with which she rejected the idea of 'stagflationary pressures' as well as the comparisons with 2022 at the April ECB meeting. On a more positive note, it seems as though someone, at least, follows our research. In all seriousness, the comment on the insurance rate hike suggests that today's decision was not a 'one and done' hike but rather a shift of the ECB's starting position.

The warning that inflationary pressures were broadening, as well as the emphasis on broadening indirect effects from higher energy prices, suggest that today's rate hike is not yet the end. However, at the risk of ending up on a blacklist at the ECB, what remains strange is the repetition of data dependency and a meeting-by-meeting approach in the context of the ECB's seemingly clear reaction function. Lagarde's comments on the different macro scenarios added to the confusion, with the ECB President at one point even mentioning rate cuts. Maybe the best description of the central bank's reaction function is what Lagarde herself mentioned during the press conference: "It will be what it will be."

All of this means that a second rate hike after today's decision, either in July or September, has become more likely. Still, as long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock with aggressive rate hikes at the cost of potentially worsening an economic downturn.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 15 June 2026

FX TALKING NORWAY SWEDEN

G10 FX Talking: Dollar stronger for longer

Despite all the talk of de-dollarisation last year, there's been no follow-through selling. Importantly, investors now think the Federal Reserve will be in a position to tighten policy rates as the labour market stabilises and inflation moves further away from the Fed's 2% target. We think the dollar can hold recent gains this summer



Dollar dominance: supported by higher-for-longer US rates and renewed confidence in Fed tightening

Main ING G10 FX Forecasts

	EUR/USD		USD/JPY		GBP/USD	
1M	1.15	↓	160	→	1.32	↓
3M	1.15	↓	160	↑	1.31	↓
6M	1.17	→	158	→	1.33	↓
12M	1.20	↑	154	↓	1.35	↑

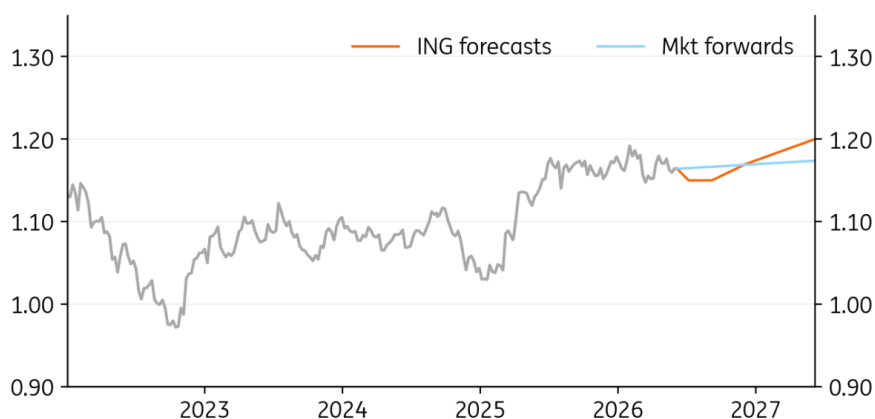
EUR/GBP		EUR/CHF		USD/CAD	
---------	--	---------	--	---------	--

1M	0.87	↑	0.92	→	1.40	→
3M	0.88	↑	0.92	→	1.39	→
6M	0.88	↑	0.92	↑	1.37	↓
12M	0.89	↑	0.92	↑	1.33	↓

EUR/USD: Riding out Fed hawkishness

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	1.1600	Mildly Bearish ↘	1.15	1.15	1.17	1.20

- It looks like FX markets are entering a period where the dollar will be back in demand. Our house call is that energy prices will remain high or rise further into July as inventory drawdown strategies are questioned. This inflation shock will be with us for longer. With a stable labour market, the Federal Reserve will have to delay its easing cycle deep into 2027. Bearish flattening of the yield curve means cyclical dollar strength should be with us through the summer.
- Having already hiked to 2.25%, we expect another hike from the European Central Bank either in July or September. But the stagflationary shock will be felt more in the eurozone than in the US.
- EUR/USD could be pushed to 1.13/14 in July – but this is not 2022.

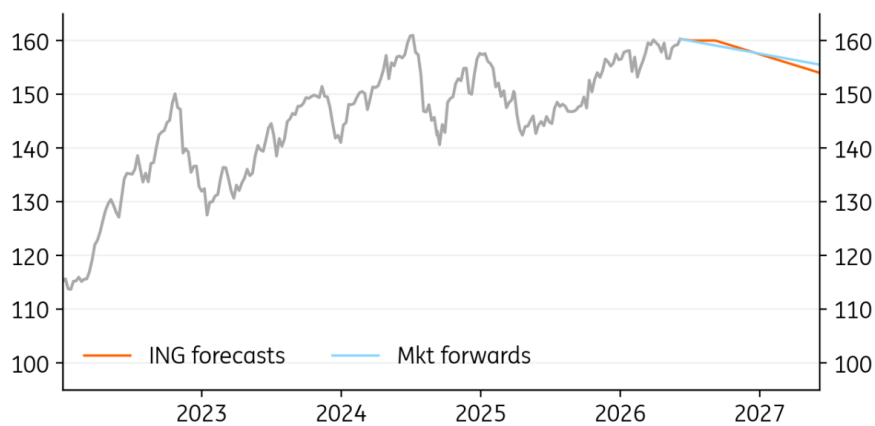


Source: Refinitiv, ING Forecasts

USD/JPY: Decreasing marginal returns of intervention

	Spot	One month bias	1M	3M	6M	12M
USD/JPY	160.10	Neutral	160.00	160.00	158.00	154.00

- The \$70bn of FX sales undertaken by the Bank of Japan in late April/early May only bought Tokyo a little time. Japanese authorities appreciate that the dollar is bid, yen real rates are deeply negative, and the speculative market is not especially short yen.
- There's also the issue that too frequent interventions (more than three times over a six-month period) could see Japan lose its 'freely floating' IMF currency regime designation.
- All this points to USD/JPY staying bid this summer and potentially advancing into the 162/163 area. What would be a game-changer, albeit unlikely, is the US Treasury engaging in joint intervention. The Fed did check USD/JPY rates in January.

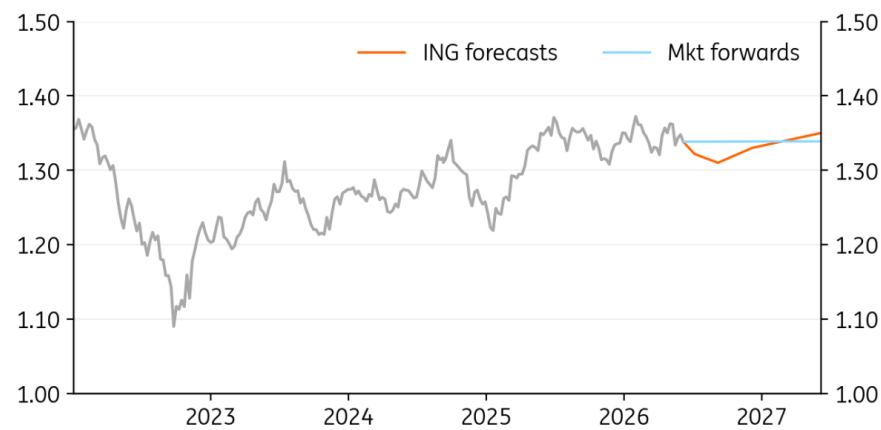


Source: Refinitiv, ING Forecasts

GBP/USD: Sluggish BoE, UK politics to weigh

	Spot	One month bias	1M	3M	6M	12M
	1.3400	Mildly Bearish ↘	1.32	1.31	1.33	1.35

- Our team has recently revised the Bank of England call to look for one 25bp hike in July (to 4.00%) and then three cuts from 2Q27 onwards. One hike will probably not be enough to deliver strong support for the pound in what should be a strong-dollar environment this summer.
- Look out for politics to heat up around 18 June, when PM Keir Starmer’s rival, Andy Burnham, looks set to win a by-election. Victory would see him formally challenge Starmer. Burnham becoming PM would mark a clear shift to the left in UK politics.
- That said, GBP has been proving resilient this year. Cheap valuations and £200bn of UK-targeted M&A could be factors.

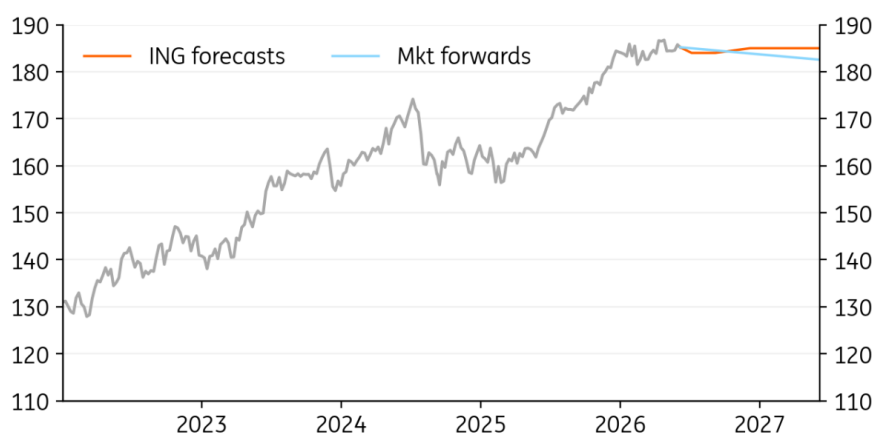


Source: Refinitiv, ING Forecasts

EUR/JPY: Slight downside bias emerging

	Spot	One month bias	1M	3M	6M	12M
EUR/JPY	185.3800	Mildly Bearish ↘	184.00	184.00	185.00	185.00

- EUR/JPY has been remarkably stable, near 185, over recent months. If we are right with a big spike in energy over the next four to six weeks, both the euro and the yen should come under pressure. But we see more downside for EUR/USD than upside for USD/JPY. This is because the Japanese will probably try to intervene again in the 161/162 region.
- Domestically, the Bank of Japan may well hike at the 16 June meeting and the market is pricing close to a second hike by December. Investors will be focused on the friction between the BoJ and the government. Any pressure against rate hikes could hit the yen.
- A big tech sell-off is one of the downside risks to EUR/JPY.

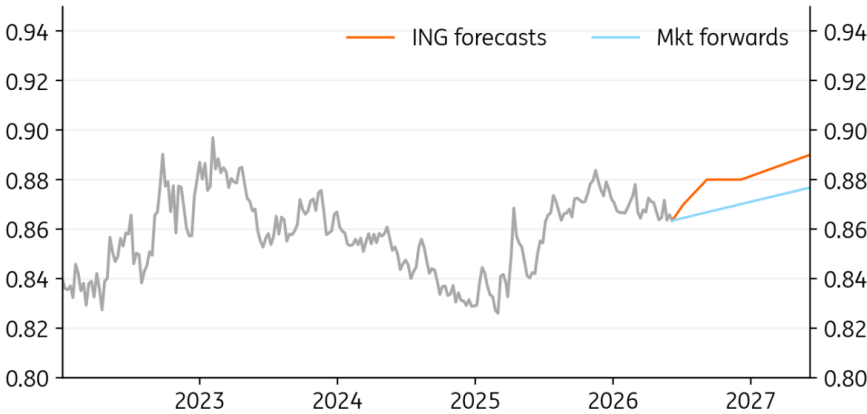


Source: Refinitiv, ING Forecasts

EUR/GBP: Exceptionally low volatility

	Spot	One month bias	1M	3M	6M	12M
EUR/GBP	0.8600	Mildly Bullish 	0.87	0.88	0.88	0.89

- EUR/GBP volatility (both traded and realised) remains exceptionally low. There is a slight kink in the volatility curve around the one- to two-week term, which probably reflects the unrest surrounding the Makerfield by-election on 18 June.
- From what we can see, strong EUR/GBP support should hold around the 0.8600/8610 area, and we favour a bounce back to 0.87 on the view that Andy Burnham will oust PM Starmer and that the BoE will lag ECB tightening this summer.
- The near-term risk is that we see a repeat of March's price action. A spike in energy saw the market price more BoE than ECB rate hikes and EUR/GBP came under pressure.

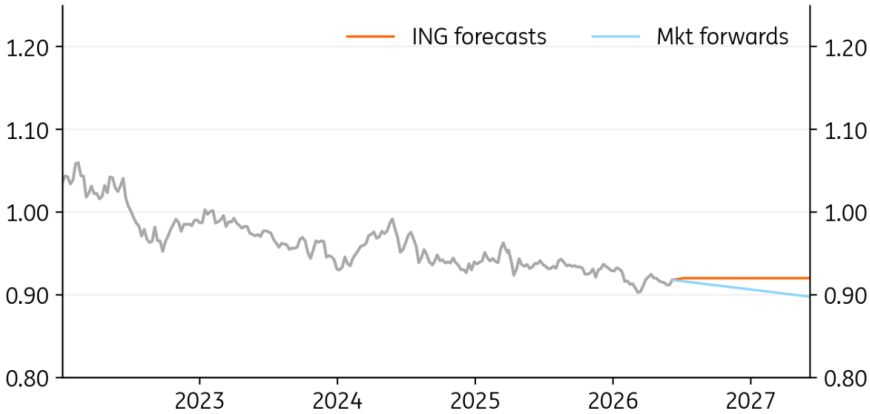


Source: Refinitiv, ING Forecasts

EUR/CHF: Unwind of the dollar debasement hurts CHF

	Spot	One month bias	1M	3M	6M	12M
EUR/CHF	0.9200	Neutral	0.92	0.92	0.92	0.92

- The shift in market pricing towards Fed tightening has weighed on the Swiss franc through two channels. The first is the unwinding of the dollar debasement trade. This has seen the franc, gold and bitcoin all come under pressure on the view that the Fed is not ‘captured’ after all and could end up hiking.
- The second channel is through more conventional rate spreads, where the ECB is tightening and the Swiss National Bank will lag. Two-year EUR:CHF swap differentials have widened to 270bp. However, it’s not clear how much further widening can be expected.
- SNB FX intervention data on 30 June should show the largest FX buying since 2020/21 and keep EUR/CHF downside limited.

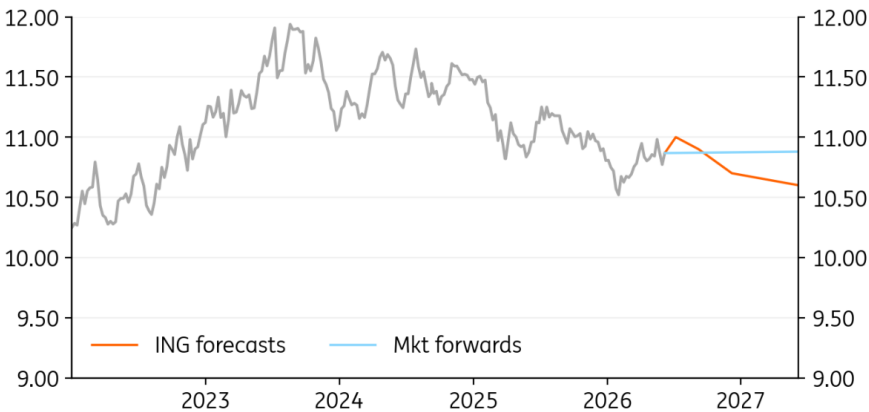


Source: Refinitiv, ING Forecasts

EUR/SEK: Riksbank hike hinges on the krona

	Spot	One month bias	1M	3M	6M	12M
EUR/SEK	10.9300	Mildly Bullish 	11.00	10.90	10.70	10.60

- We are revising our EUR/SEK profile moderately higher, in line with a more bullish view on oil and a call for two ECB hikes.
- We still think markets are overestimating the chance of a Riksbank hike. Inflation is still below target, and the pass-through from higher oil prices is smaller and slower in Sweden than in the eurozone.
- Still, the risks of a hike have increased somewhat. In our view, a realistic trigger could be a sharp weakening of the krona. The Riksbank might try to contain it by hiking rates to avoid spillover into inflation expectations. That may not happen until EUR/SEK hits 11.10-11.15, which is not our current base case.

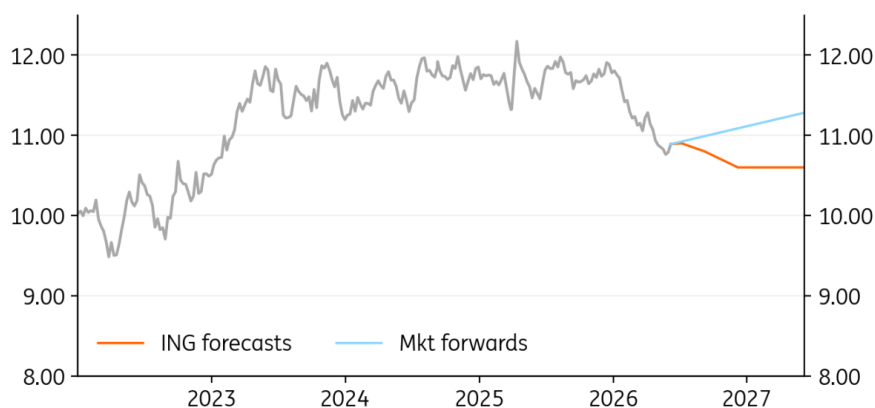


Source: Refinitiv, ING Forecasts

EUR/NOK: Ready to benefit from new oil rallies

	Spot	One month bias	1M	3M	6M	12M
EUR/NOK	11.0500	Mildly Bearish 	10.90	10.80	10.60	10.60

- We are pencilling in another Norges Bank 25bp hike this year, contingent on an increase in oil prices this summer. That would further enhance the krone's already attractive carry, though the currency will likely need a broader stabilisation in global risk before those advantages can fully register. A Brent price above \$110/bbl, as forecast by our commodities team, should drive EUR/NOK lower, net of any short-lived corrections in risk sentiment.
- The main risks for NOK in this scenario are related to bigger equity corrections and/or the Fed hiking more than once.

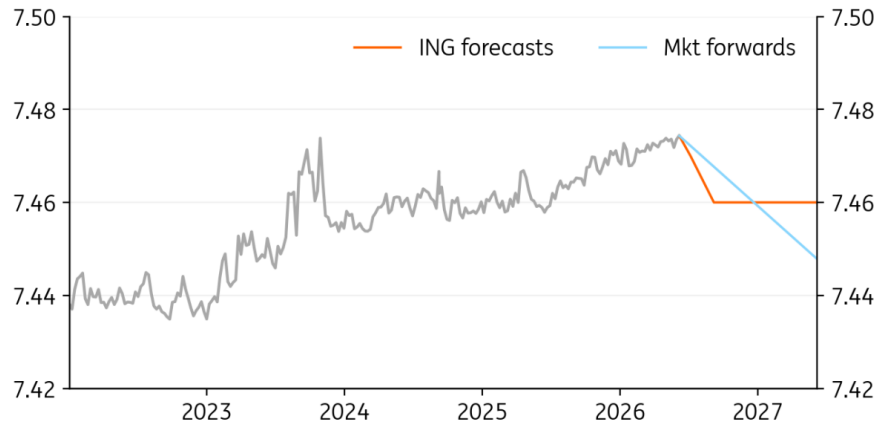


Source: Refinitiv, ING Forecasts

EUR/DKK: Still tolerated at these high levels

	Spot	One month bias	1M	3M	6M	12M
EUR/DKK	7.4700	Neutral	7.47	7.46	7.46	7.46

- The Danish central bank continues to show tolerance for the relatively strong EUR/DKK, choosing not to intervene to buy DKK again in May and hiking 25bp like the ECB on 11 June.
- We still think we are close to a tipping point in EUR/DKK strength to trigger new FX intervention or action on the rates side to close the policy gap with the ECB.
- Our view, therefore, remains that EUR/DKK will stay close to the 7.470 mark in the second half of the year.

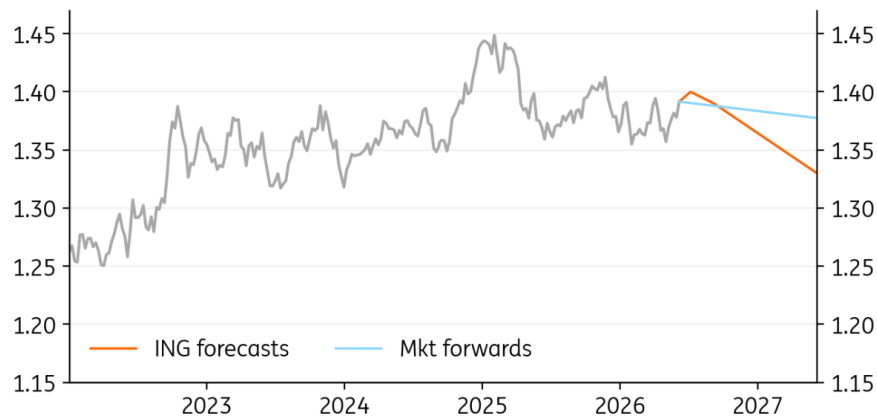


Source: Refinitiv, ING Forecasts

USD/CAD: CAD in an undesirable spot near term

	Spot	One month bias	1M	3M	6M	12M
USD/CAD	1.4000	Neutral	1.40	1.39	1.37	1.33

- Idiosyncratic risks have continued to weigh on Canada's dollar. The labour market rebounded in May, but the April jobs slump, paired with a technical recession, has left Bank of Canada officials a bit more cautious on tightening. We don't expect a hike.
- USMCA renegotiations may well be the next big thing on President Trump's agenda. It's still unclear how those will be dealt with alongside Iran negotiations and the World Cup. But trade tensions remain an important driver of uncertainty for Canadian businesses.
- Higher oil prices can partly offset those domestic woes for CAD in the crosses, but not in USD/CAD. We now expect it to break above 1.40 before gradually easing back towards 1.37 in the second half of 2026.

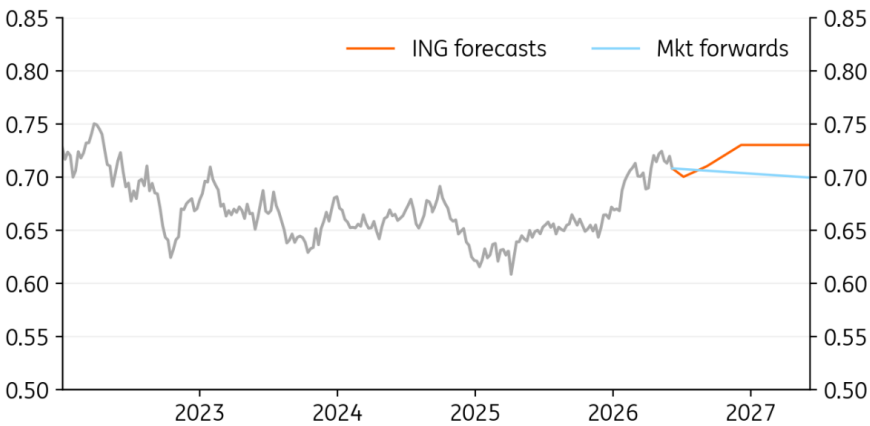


Source: Refinitiv, ING Forecasts

AUD/USD: More short-term turbulence possible

	Spot	One month bias	1M	3M	6M	12M
AUD/USD	0.7000	Neutral	0.70	0.71	0.73	0.73

- The likelihood of another rate hike by the Reserve Bank of Australia would rise, especially in a potentially rocky summer for energy markets. The Bank might have a slightly higher bar to tighten again, but it has shown little hesitation to act if data heats up.
- The positive impact on AUD/USD from another RBA hike would, however, be more than offset by potential Fed tightening, which tends to have a deeper impact on high-beta currencies than domestic stories.
- Beyond a potentially turbulent summer, we remain optimistic on AUD's outlook. Carry and terms-of-trade improvements are pointing higher. If risk sentiment holds, AUD should emerge as an outperformer again later this year.

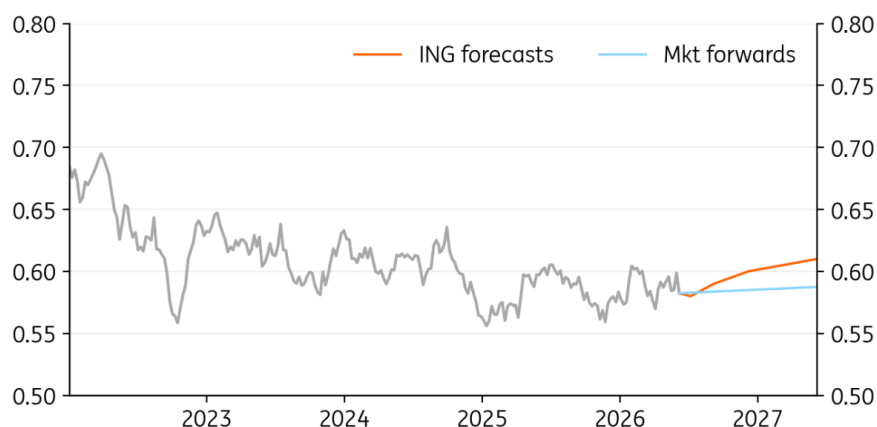


Source: Refinitiv, ING Forecasts

NZD/USD: Hikes fully priced in

	Spot	One month bias	1M	3M	6M	12M
NZD/USD	0.5800	Neutral	0.58	0.59	0.60	0.61

- The Reserve Bank of New Zealand should start hiking rates on 8 July after a strongly dissented hold in May. If oil prices spike over the next few weeks, we see a chance of a 50 bp increase in July.
- Even if the hike is only 25bp, the messaging may well need to remain hawkish to avoid a rates repricing that could push inflation expectations higher. Markets are pricing in 75bp of RBNZ hikes by year-end; our call is 50bp, with hawkish risks. Still, we expect the Fed story to be a bigger driver for NZD/USD.
- We are still looking at some upside for the pair in 2H26, but we expect AUD to outpace NZD again into year-end.



Source: Refinitiv, ING Forecasts

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Francesco Pesole

FX Strategist
francesco.pesole@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 15 June 2026

FX TALKING CZECH REPUBLIC HUNGARY

EMEA FX Talking: Hungarian love affair continues

Investors love affair with Hungarian assets continues as the new government talks of euro adoption. Expect the forint to hold gains even though the central bank will be cutting the policy rate. Also staying bid, but on the back of a hawkish central bank, will be the Czech koruna. The Polish zloty should lag, given our view of unchanged policy rates this year



Strong forint and koruna outperform as the zloty trails

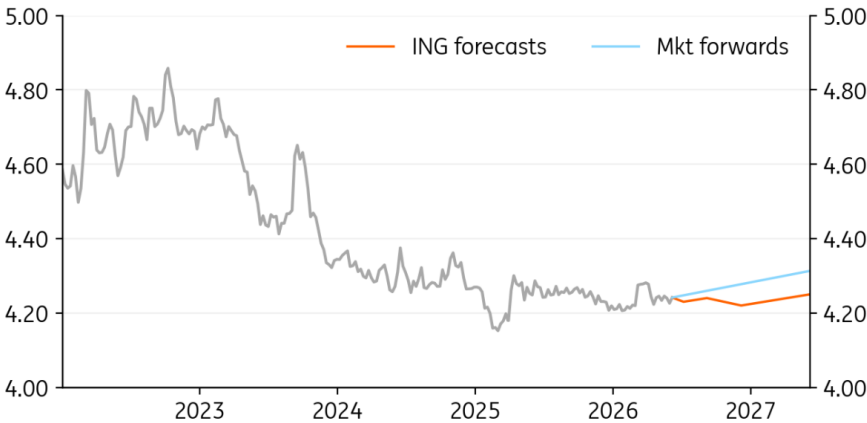
Main ING EMEA FX Forecasts

	EUR/CZK		EUR/PLN		EUR/HUF	
1M	24.20	↑	4.23	↑	350	↓
3M	24.15	↓	4.24	↑	360	↑
6M	24.10	↓	4.22	↑	355	↓
12M	24.00	↓	4.25	↑	360	↓

EUR/PLN: Zloty remains stable

	Spot	One month bias	1M	3M	6M	12M
EUR/PLN	4.2500	Mildly Bearish ↘	4.23	4.24	4.22	4.25

- EUR/PLN maintains its narrow range (4.23 – 4.26) despite the turmoil in the Gulf, US dollar strength and a less hawkish approach by the central bank governor in June. The zloty remains relatively resilient to these factors.
- July was perceived as a live Monetary Policy Council meeting (due to the new projections), but recent dovish MPC comments and a low May CPI support our no-hike view for 2026, while markets still price 75bp in hikes. These expectations shield the zloty against risk-off waves.
- Our view on the zloty remains unchanged. We expect a limited rise in EUR/USD in the second half of 2026, sustainable GDP outperformance and expected inflows of EU funds to justify EUR/PLN hovering close to 4.24. Risks are still linked to geopolitical factors and a dovish MPC.

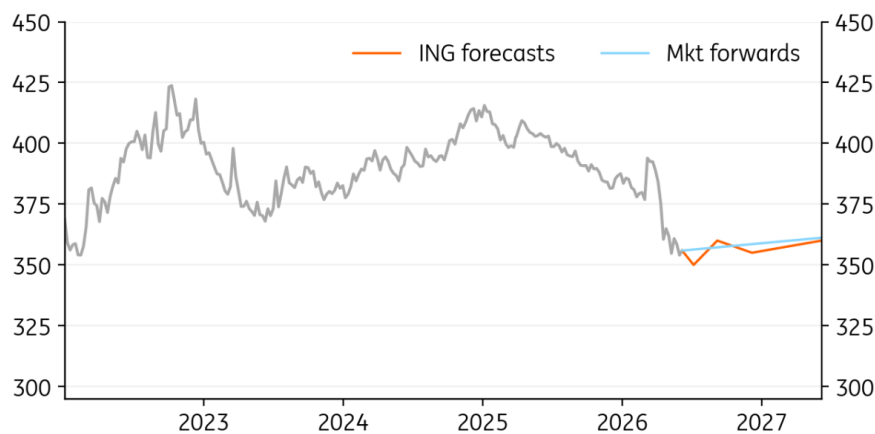


Source: Refinitiv, ING Forecasts

EUR/HUF: Positive factors to maintain the strength of the HUF

	Spot	One month bias	1M	3M	6M	12M
EUR/HUF	352.9100	Mildly Bearish 	350.00	360.00	355.00	360.00

- We see the National Bank of Hungary cutting the base rate on 23 June. The extremely favourable May inflation print at 1.8% made us consider the possibility of a 50bp cut, though we still regard this as a remote option.
- With almost 100bp of easing priced in until end-2026, the easing cycle won't derail the forint's superstar status. Positive factors such as full access to EU funds, upgrades to ratings outlooks and a convergence programme should keep EUR/HUF at around 355 despite the lower interest rate premium.
- As policymakers prefer lower rates to a stronger forint, we see reactive policies sustaining a 350-360 range in the long term.

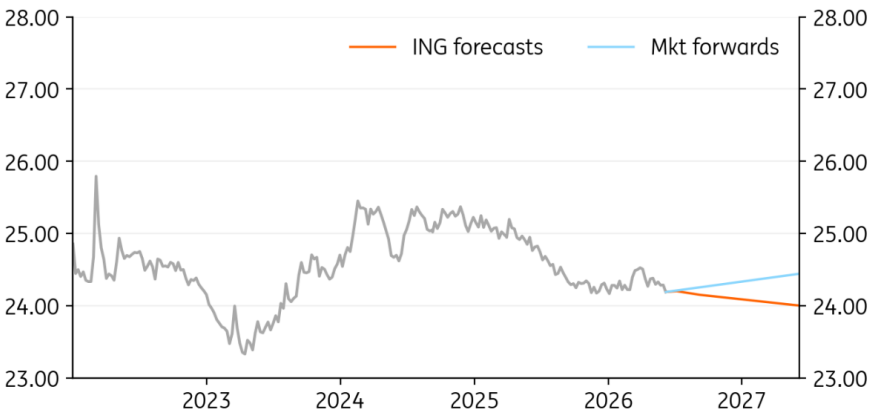


Source: Refinitiv, ING Forecasts

EUR/CZK: Czech rate hike on its way

	Spot	One month bias	1M	3M	6M	12M
EUR/CZK	24.1800	Neutral	24.20	24.15	24.10	24.00

- The Czech National Bank will likely proceed with one hike at its June meeting, which has been signalled by ample hawkish talk. However, we expect a split vote with a close call between a hike and flat base rate.
- In any case, the koruna will further be supported by the positive interest rate differential against the euro in both nominal and real terms. The recent ECB rate increase is not a substantial adjustment here.
- Should we see the impact of the Hormuz crisis on real growth in 2Q, the Czech and eurozone economies will both be affected. The economic support for the koruna should prevail and underscore its relative strength.

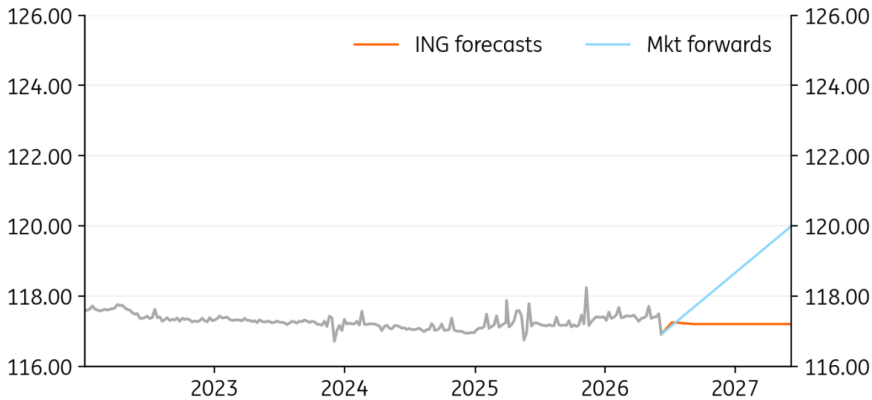


Source: Refinitiv, ING Forecasts

EUR/RSD: Investment trends keeping RSD supported

	Spot	One month bias	1M	3M	6M	12M
EUR/RSD	117.3600	Neutral	117.25	117.20	117.20	117.20

- EUR/RSD has continued to trade mostly sideways, despite persistent political tensions. However, more positively, the shareholders' agreement for the sale of the NIS refinery has concluded, after months of uncertainty. The pair sat mostly between the 117.30 – 117.50 range. Preparations and last-mile investments related to the EXPO 2027 event are also beginning to gather pace.
- As such, investments are still set to continue to fuel the tailwinds in activity ahead, while the country's external position remains in check. The still-high, double-digit wage growth acted as a cushion through most of the recent uncertainties and has allowed demand to remain robust.
- At its June meeting, the National Bank of Serbia kept the key rate in place at 5.75% - highlighting the short-run inflationary pressures expected. We continue to believe that FX stability should remain a key focus ahead – in January-April, the Bank sold EUR 1205mn to keep the pair stable.

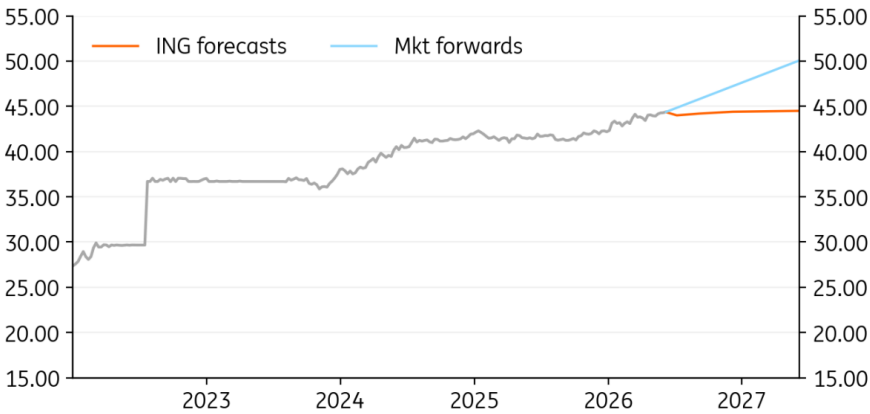


Source: Refinitiv, ING Forecasts

USD/UAH: Hryvnia at record low level

	Spot	One month bias	1M	3M	6M	12M
USD/UAH	44.8200	Mildly Bearish ↘	44.00	44.20	44.40	44.50

- As the US dollar strengthened on the back of solid data, USD/UAH rose towards 44.8, a record high level. The National Bank of Ukraine’s efforts to stabilise the hryvnia are insufficient to fully offset the global financial markets impact. Thus, the outlook for the hryvnia remains cloudy.
- May was another month in which international reserves of the NBU decreased (by 5.2% after 7.3% in April), mainly due to FX interventions and FX debt repayments. Nevertheless, the NBU see them as sufficient to maintain FX market stability.
- Still, the macroeconomic environment remains challenging due to the ongoing war. However, the latest business outlook survey shows further signs of an improvement with construction and industrial companies maintaining the most optimistic outlook.

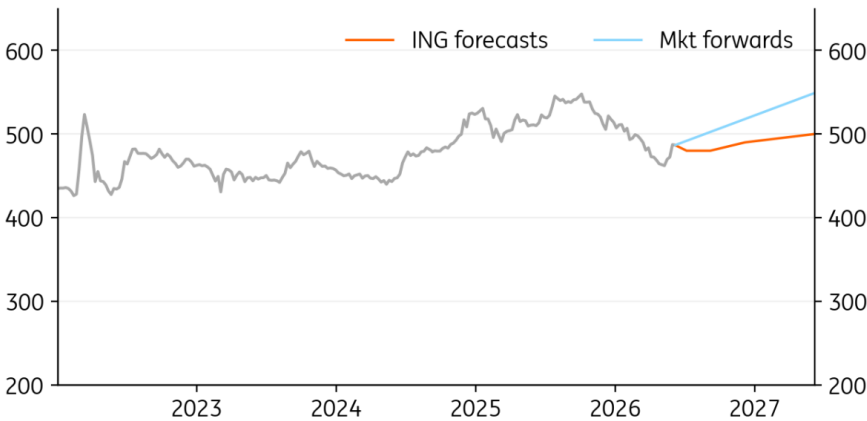


Source: Refinitiv, ING Forecasts

USD/KZT: Real rates remain high despite the surprise rate cut

	Spot	One month bias	1M	3M	6M	12M
	489.4300	Bearish 	480.00	480.00	490.00	500.00

- The tenge lost around 5% over the last month, following the correction in the oil prices. Meanwhile, [the updated house view](#) suggests upside.
- The National Bank of Kazakhstan made a surprise cut in the base rate by 100bp to 17.00%, without any commitment to further easing. With CPI of around 10% year-on-year, Kazakhstan’s real rates remain high.
- We expect the tenge to continue to benefit from portfolio capital inflows thanks to the future Euroclear connection, issuance plans, and hopes of an improved position in global bond indices. Meanwhile, the effect of higher oil prices should be muted by the accompanying dividend outflow.

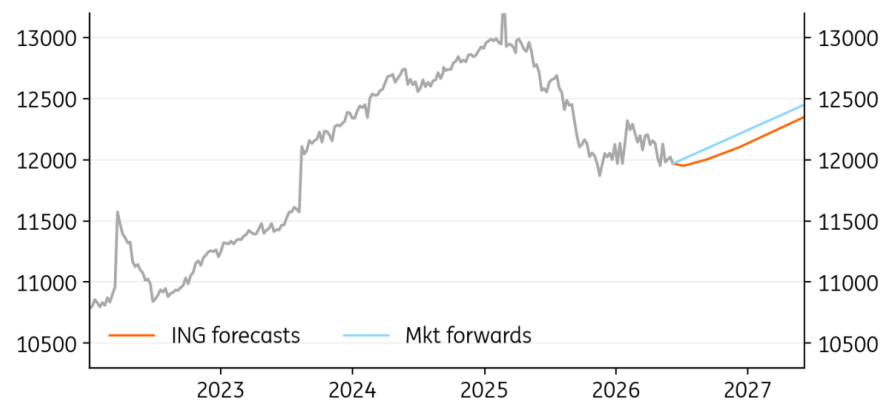


Source: Refinitiv, ING Forecasts

USD/UZS: Long-awaited restart of gold exports lifts UZS

Spot	One month bias	1M	3M	6M	12M
11,977.0000	Neutral	11950.00	12000.00	12100.00	12350.00

- The soum appreciated against the US dollar by around 1% over the last month, in line with our constructive view. The long-awaited [restart of the gold exports](#) was the main support factor.
- Portfolio inflows, likely supported by the privatisation pipeline and improved sovereign rating prospects should serve as additional reinforcement for the FX market
- A stronger soum combined with apparent ongoing fiscal consolidation have contributed to a material drop in CPI growth to 5.5% year-on-year as of May, creating room for a cut in the policy rate from the current high level of 14.00%.

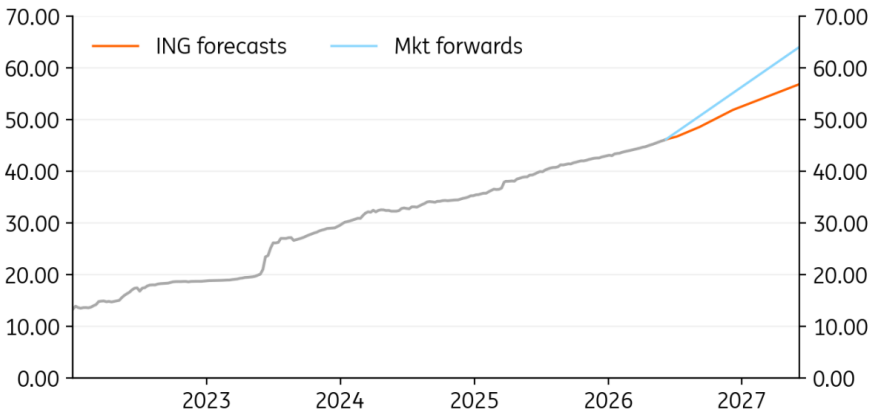


Source: Refinitiv, ING Forecasts

USD/TRY: A clear intention to preserve flexibility in policymaking

	Spot	One month bias	1M	3M	6M	12M
USD/TRY	46.2600	Mildly Bullish 	46.65	48.50	51.80	56.80

- May inflation has not yet shown a clear return to a disinflation trend, indicating a still challenging outlook. Uncertainty around oil prices, and the spillover into other commodities, continues to pose risks. Food inflation remains uncertain, shaped by agricultural supply expectations and potential fertiliser cost pressures. Annual inflation is expected slightly below 30%.
- The Middle East conflict has required a prolonged period of tight monetary policy, accompanied by stricter credit growth caps. These measures reflect a widening current account deficit and increased financial stability concerns after the court decision. Despite stable lending trends, the central bank has lowered TRY loan growth limits for the retail and corporate segments.
- Given this backdrop, all policy options continue to be available for the Central Bank of Turkey. This approach signals a clear intention to preserve flexibility in policymaking depending on changing geopolitical conditions. In the near term, we think the CBT will remain in a wait-and-see approach before deciding whether to reduce the effective cost of funding back toward the policy rate.

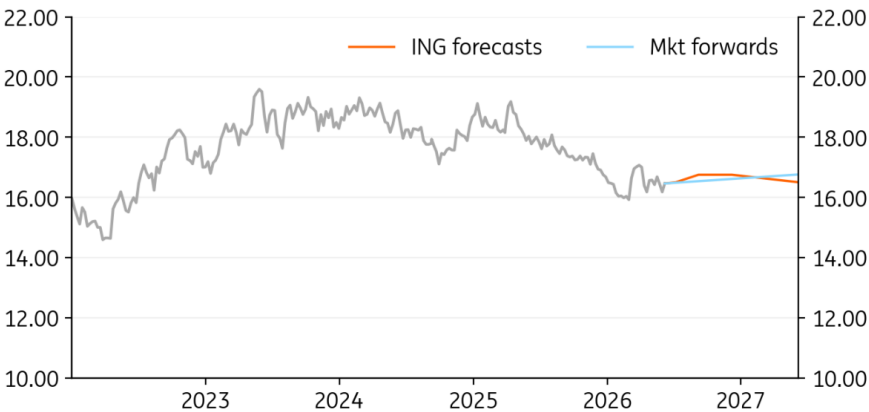


Source: Refinitiv, ING Forecasts

USD/ZAR: Headwinds growing, including El Nino

	Spot	One month bias	1M	3M	6M	12M
USD/ZAR	16.2600	Mildly Bullish 	16.50	16.75	16.75	16.50

- Higher US rates and a tech-led sell-off in risk assets have started to weigh on the rand. But last month, the South African Reserve Bank pre-emptively hiked to 7%, leaving the rand with real rate protection of nearly 3%. The SARB has presented a worst-case scenario for rate hikes if the Strait of Hormuz remains closed for longer and El Nino hits hard. This could see SARB hike to 7.75%.
- We are raising our USD/ZAR profile because of the Fed story but still see it lower through 2027 on high yields, strong commodity prices and eventually lower rates in the US.
- But a heavy El Nino this November-February, causing drought in Asia and Africa, could be a major rand negative.

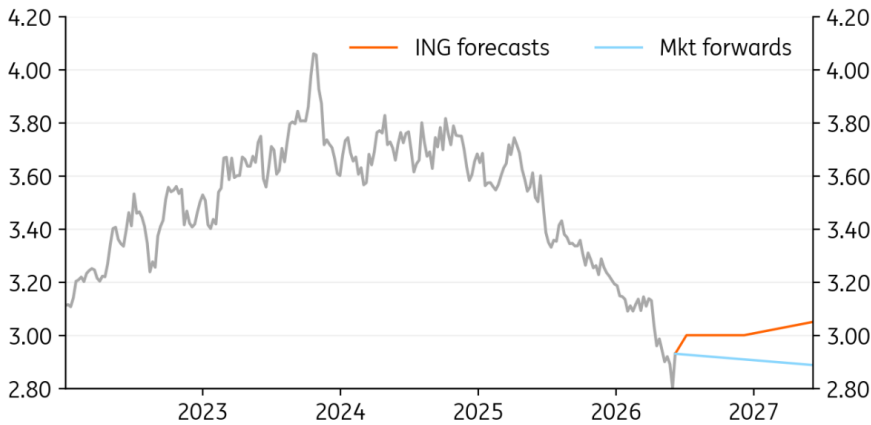


Source: Refinitiv, ING Forecasts

USD/ILS: Bank of Israel intervenes for first time since 2022

	Spot	One month bias	1M	3M	6M	12M
USD/ILS	2.9200	Bullish 	3.00	3.00	3.00	3.05

- We had felt that the Bank of Israel did not want USD/ILS to be trading under 3.00. Over the last month it intervened to the tune of \$800m and also cut rates by 25bp to 3.75%. Unlike elsewhere in the world, inflation is on target and the Bol is seen as having plenty of room to cut. The market has probably got ahead of itself, however, in pricing a further 150bp of easing.
- The FX intervention is the first since 2022 and quite a big deal. Previously it had been thought Washington had warned Israel away from intervention – that policy may have changed now.
- A stronger dollar and a tech world moving into frothy valuations leave the tech-sensitive shekel a little fragile this year.



Source: Refinitiv, ING Forecasts

Author

Rafal Benecki

Chief Economist, Poland
rafal.benecki@ing.pl

Peter Virovacz

Chief Economist, Hungary
peter.virovacz@ing.com

David Havrlant

Chief Economist, Czech Republic
420 770 321 486
david.havrlant@ing.com

Mateusz Sutowicz

Senior Economist, Poland
mateusz.sutowicz@ing.pl

Dmitry Dolgin

Chief Economist, CIS
dmitry.dolgin@ing.de

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V.,

THINK economic and financial analysis

London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 15 June 2026

FX TALKING BRAZIL MEXICO

Latam FX Talking: A few clouds on the horizon

Latin America has been viewed as a bastion of FX stability so far this year. Yet a few wrinkles are emerging – from politics in Brazil to a trade re-negotiation in Mexico to the outlook for Chile's copper industry. Even so, Brazil's status as a high-yielding energy exporter should protect the real, and we remain bullish here



The outlook for the copper industry in Chile adds a wrinkle to Latin America's FX stability

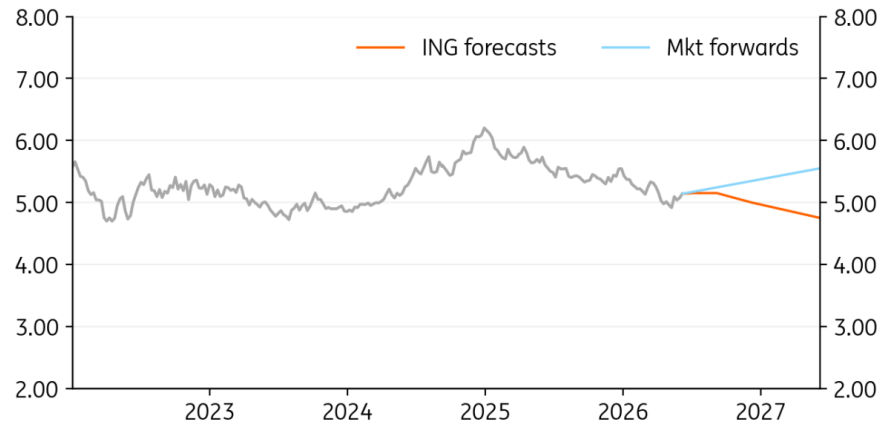
Main ING Latam FX Forecasts

	USD/BRL		USD/MXN		USD/CLP	
1M	5.15	↑	17.50	↑	925	↑
3M	5.15	↓	17.50	↑	925	↑
6M	5.00	↓	17.25	↓	925	↑
12M	4.75	↓	17.25	↓	900	↓

USD/BRL: A little underperformance comes through

	Spot	One month bias	1M	3M	6M	12M
USD/BRL	5.1000	Neutral	5.15	5.15	5.00	4.75

- We’ve started to see some underperformance in the real over the last five to 10 days, driven mostly by local interest rates. Markets are now pricing roughly 125bp of tightening over the next year, which looks too aggressive to us.
- Fears of economic overheating — stoked by Brazil's strong 1.1% quarter-on-quarter GDP print in 1Q and the Lula administration’s loose fiscal stance — helped drive the recent rates-led sell-off. Additionally, Lula pulling ahead in presidential polling seems to have weighed on BRL.
- But with 13% implied yields, the BRL remains an expensive sell. And ultimately, high yields, Brazil’s energy exporter status and perhaps high crop yields on El Niño should keep BRL supported.

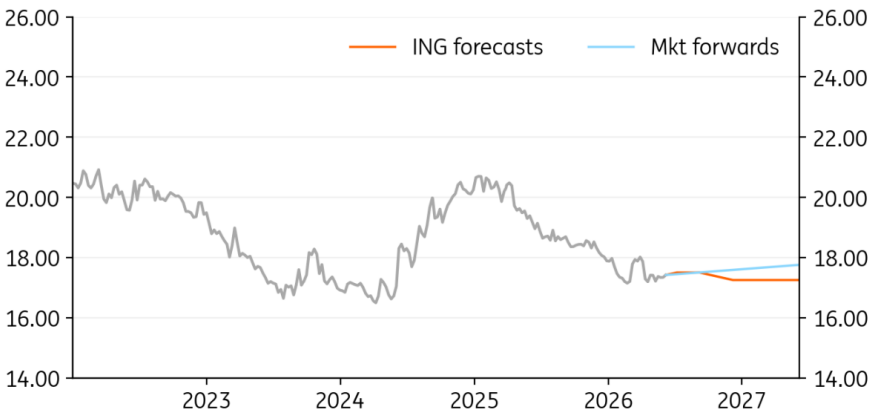


Source: Refinitiv, ING forecasts

USD/MXN: MXN interest rate protection is a little lean

	Spot	One month bias	1M	3M	6M	12M
USD/MXN	17.2100	Mildly Bullish 	17.50	17.50	17.25	17.25

- The peso has been performing relatively well during this corrective period in risk assets. A 2.5% correction is not a bad outcome for a high-beta EM currency. The next couple of months could be a difficult period for EM assets; we see potential MXN weakness. And after a two-year, 475bp Banxico easing cycle, the Mexican policy spread over the US is now a lean 275bp. This is close to the lows over the last decade.
- The USMCA re-negotiation looks set to drag on, with the US pushing for stricter rules of origin. This uncertainty can weigh on the market.
- We don't think Banxico wants USD/MXN to trade too far under 17.00, which in any case looks unlikely this summer.

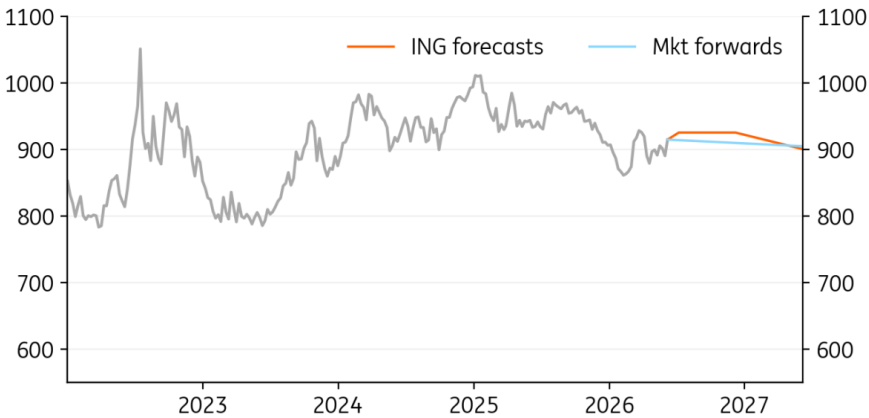


Source: Refinitiv, ING forecasts

USD/CLP: Copper story could prove problematical

	Spot	One month bias	1M	3M	6M	12M
USD/CLP	905.0300	Mildly Bullish 	925.00	925.00	925.00	900.00

- Higher US rates have pushed USD/CLP toward the top of its broad 850–950 range. Another sharp rise in energy prices in the coming months would be particularly unwelcome for Chile. We’re a little worried about Chile’s copper production later this year, where more limited access to sulphuric acid, linked to Middle East-related supply disruptions, could hit activity.
- We’re also waiting to hear about US tariffs on refined copper products – a decision is due by the end of June. A delay or a tariff could keep copper prices bid, while no tariffs could see copper prices give back some of their recent gains.
- Expect USD/CLP to continue trading in an 850-950 range, with a top-side bias given the current strengthening dollar story.



Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“ING”) solely for information purposes without regard to any particular user’s investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or

misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 15 June 2026

FX TALKING CHINA INDIA

Asia FX Talking: Support measures stacking up

Many Asian currencies have had a difficult few months amid higher energy prices, rising US rates, tech volatility and some questionable policy choices. Local authorities are unleashing a raft of measures to attract foreign capital and support their currencies. As these steps gain traction, a period of calmer trading may emerge by summer



Policy support gathers pace as pressures on Asian currencies persist, with the yuan showing relative resilience

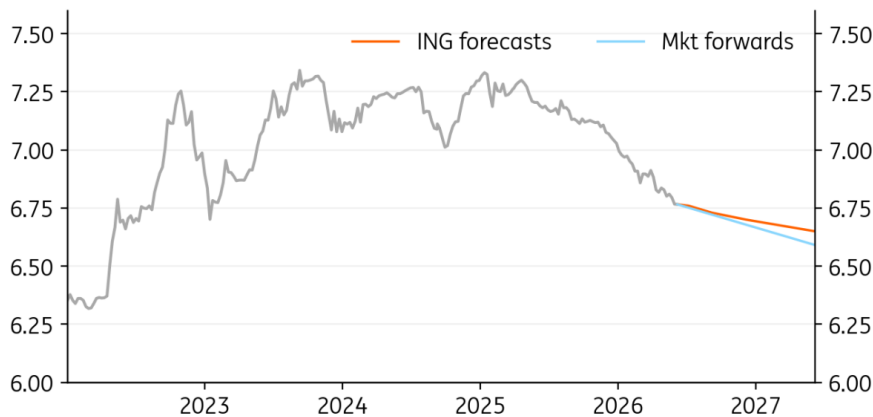
Main ING Asia FX Forecasts

	USD/CNY		USD/KRW		USD/INR	
1M	6.76	↑	1515	↓	95.50	↑
3M	6.73	↑	1475	↓	94.50	↓
6M	6.70	↑	1475	↓	94.00	↓
12M	6.65	↑	1450	↓	93.00	↓

USD/CNY: Appreciation trajectory remained intact

	Spot	One month bias	1M	3M	6M	12M
USD/CNY	6.7600	Neutral	6.76	6.73	6.70	6.65

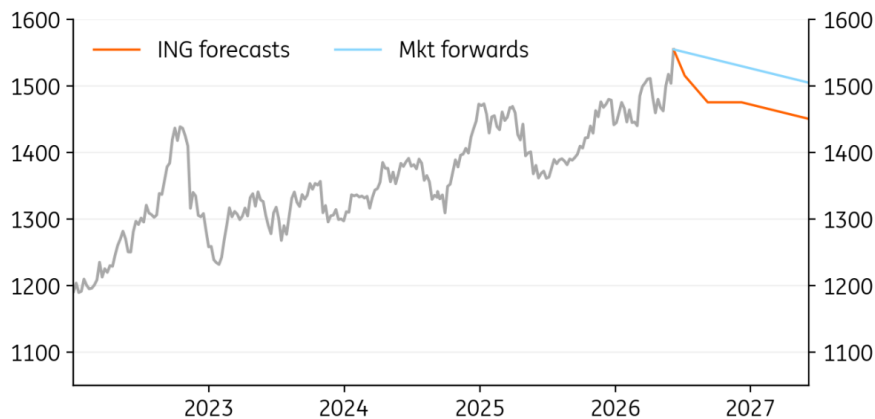
- The Chinese yuan was an outperformer last month, with the USD/CNY drifting lower, touching a low of 6.76.
- A strong May trade surplus and less resistance to appreciation from daily fixings offset a wider US-China yield spread, supporting the CNY over the past month.
- We hold our 6.70-7.05 fluctuation band forecast, with risks to the downside. New tightening on capital outflows adds to the CNY-bullish macro backdrop. Market participants still seem to largely favour further CNY appreciation.



USD/KRW: KRW to remain weak and volatile in near term

	Spot	One month bias	1M	3M	6M	12M
USD/KRW	1,517.0000	Neutral	1515.00	1475.00	1475.00	1450.00

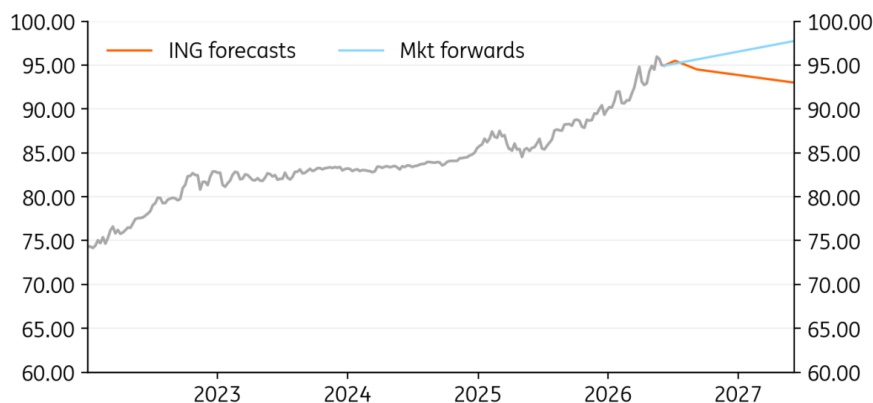
- USD/KRW has been the worst-performing Asian currency, briefly breaking above 1,550 before intervention by the authorities brought it back toward the 1,525 level.
- A chip-led current-account surplus is expected to widen towards historic highs. But geopolitical risks and large outbound portfolio flows should keep USD/KRW near 1,515 in the near term, with 1,550 as a key intervention risk level.
- The Bank of Korea is expected to hike rates in July and signal additional tightening. We expect 50bp of hikes this year and another 25bp in 1H27. Narrowing the yield gap with the Federal Reserve should support a mild appreciation in the Korean won in 2H26.



USD/INR: Likely to trade with upward bias

	Spot	One month bias	1M	3M	6M	12M
USD/INR	95.0300	Mildly Bullish 	95.50	94.50	94.00	93.00

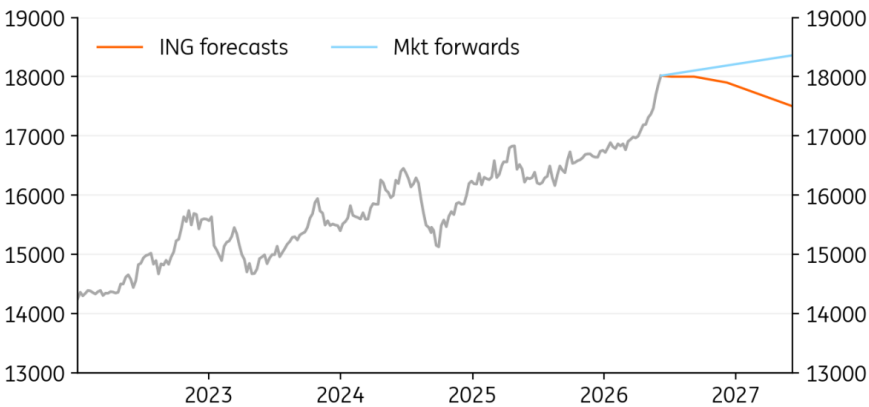
- We are factoring in mild appreciation in our Indian rupee forecast for the second half of the year. A sizable balance-of-payments deficit - driven by a higher import bill and continued foreign outflows - remains a headwind. But recent measures by the Reserve Bank of India to encourage capital inflows should gradually become supportive.
- The RBI announced that it will bear the full hedging cost for three- to five-year foreign currency non-resident (FCNR) deposits. This measure could enable banks to raise an estimated \$20–40bn in deposits, helping to bridge the balance-of-payments gap.
- In addition, exempting foreign investors from taxes on government bonds means debt inflows should improve, supported by stable fiscal dynamics. At the same time, a combination of RBI FX management and the recent correction in the REER, which has brought the INR closer to undervalued territory, should provide further support to the rupee.



USD/IDR: Depreciation risks remain despite rate hikes

	Spot	One month bias	1M	3M	6M	12M
USD/IDR	17,870.0000	Mildly Bullish 	18000.00	18000.00	17900.00	17500.00

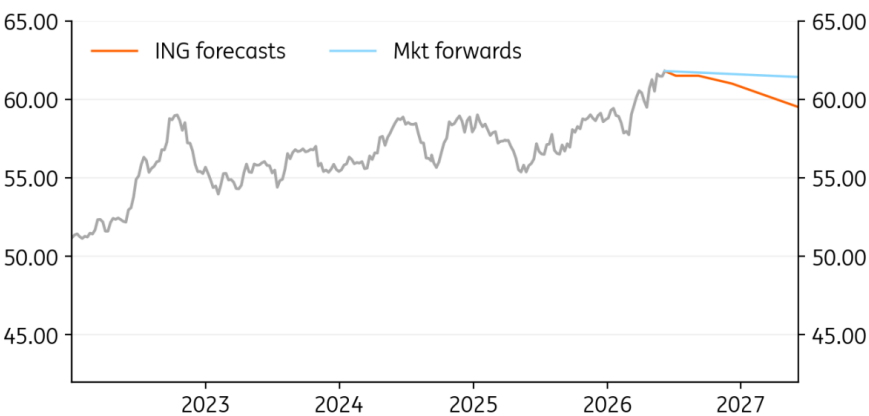
- Bank Indonesia surprised markets with two back-to-back rate hikes of 50bp and 25bp, respectively, over the last month. This reiterates that currency stabilisation remains a key policy priority, providing some near-term support for the rupiah.
- BI introduced additional measures to enhance the appeal of Indonesian assets to foreign investors, including reduced hedging costs. However, domestic factors remain the primary constraint. Limited visibility around the policy environment – including the fiscal outlook, sovereign rating trajectory, and broader growth strategy – continues to weigh on sentiment.
- Additionally, Indonesia’s recent move to centralise exports of key commodities – including coal, palm oil and nickel – under a state-owned entity introduces a new layer of policy risk at a time when investor sentiment is already fragile. As a result, foreign participation is likely to stay subdued, leaving the IDR vulnerable to continued depreciation pressures despite tighter monetary policy.



USD/PHP: No turnaround in sight yet

	Spot	One month bias	1M	3M	6M	12M
USD/PHP	60.6600	Mildly Bullish 	61.50	61.50	61.00	59.50

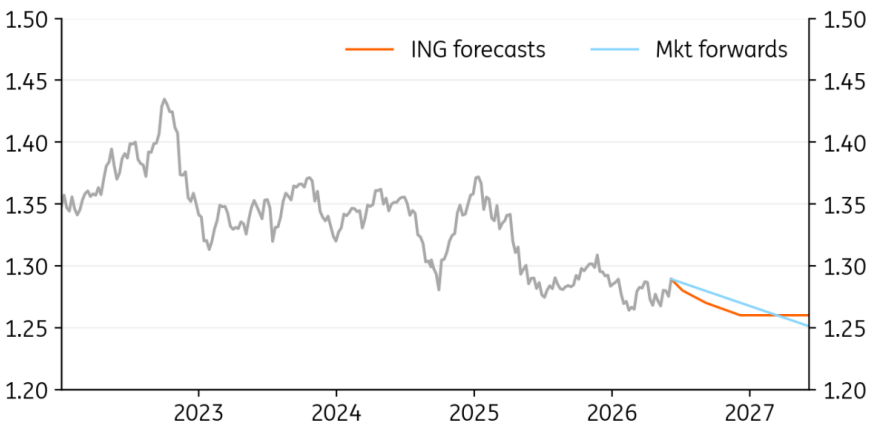
- Inflation risks remain firmly on the upside. Second-round effects amid the ongoing pass-through of elevated global oil prices – particularly into electricity, gas, and restaurant prices – show little sign of abating. Thus, we maintain our forecast for CPI inflation to average 5.8% year-on-year in 2026, well above the central bank’s 4% target.
- We expect a 25bp rate hike in June, with rising odds of a larger 50bp move should there be no clear progress toward de-escalation in the war. With oil prices now expected to average around \$110/bbl in the third quarter, pressure on the current account deficit is likely to intensify.
- At the same time, heightened political tensions, triggered by the impeachment of the vice president and the subsequent escalation among allies, are set to keep risk sentiment subdued. This could further delay reforms, slow the pace of the recovery in growth, and weigh on the peso.



USD/SGD: More tightening likely

	Spot	One month bias	1M	3M	6M	12M
USD/SGD	1.2800	Neutral	1.28	1.27	1.26	1.26

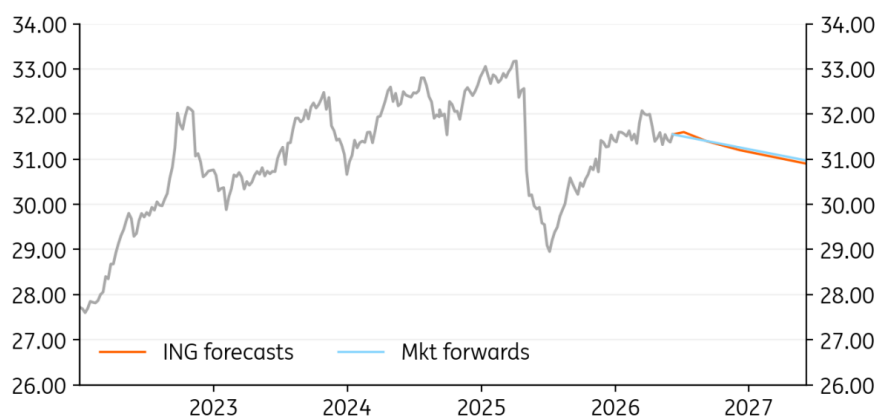
- Singapore remains one of the strongest growth stories in the region. GDP growth accelerated to 6% YoY in the first quarter, up from an average of 5% YoY in 2025. This is largely driven by government spending and robust industrial production, particularly in the electronics sector amid the global tech cycle.
- Inflation numbers are yet to see the full impact of higher global oil prices. Risks to inflation are skewed to the upside.
- The Monetary Authority of Singapore’s tightening bias remains intact, and we expect further policy tightening at the July meeting. This should provide a supportive floor for the currency in the lead-up to the decision.



USD/TWD: Rangebound pattern holds with CBC meeting ahead

	Spot	One month bias	1M	3M	6M	12M
USD/TWD	31.6200	Neutral	31.60	31.40	31.20	30.90

- The USD/TWD remained range-bound for another month, trading in the same band between 31.3-31.7. The FX pair's stagnation contrasts with the exciting moves in equity markets and macro data.
- Capital inflows continued for much of May before global tech sell-offs drove outflows in early June. US-TW yield spreads were fairly stable.
- We expect the Central Bank of China to remain on hold at its June monetary policy meeting, but its guidance is important to watch. We currently have a rate hike pencilled in for the third quarter, which could support the Taiwan dollar.



Author

Deepali Bhargava

Regional Head of Research, Asia-Pacific

Deepali.Bhargava@ing.com

Min Joo Kang

Senior Economist, South Korea and Japan

min.joo.kang@ing.com

Lynn Song

Chief Economist, Greater China

lynn.song@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 12 June 2026

COMMODITIES, FOOD & AGRI

What's next for US copper import tariffs

The US tariff decision on copper imports is weeks away, with the Commerce Secretary due to deliver a recommendation to President Donald Trump by 30 June. The market has already begun pricing the outcome. The COMEX-LME spread has widened to around \$400/t, suggesting the market continues to price meaningful tariff risk into US-delivered refined copper



Supply tightness, US tariff-driven stockpiling and AI-linked power demand are supporting copper prices

Where we are now

LME copper is trading near record highs, with prices up around 10% year-to-date and holding up well against a difficult macro backdrop. Strong US jobs data has reinforced expectations that the Federal Reserve will keep policy restrictive for longer, while renewed tensions involving Iran have weighed on broader risk sentiment.

Supply tightness, US tariff-driven stockpiling and AI-linked power demand are keeping copper more resilient than the broader complex, with the tariff decision now only weeks away.

What the tariff decision looks like

When President Trump announced a 50% tariff on copper in July 2025, refined copper was carved out. That exemption is now under review. The Commerce Secretary has until 30 June to

deliver an updated recommendation to Trump on whether and how to extend tariffs to refined copper. The original Commerce Department proposal called for a 15% tariff on refined copper imports effective January 2027, escalating to 30% in 2028.

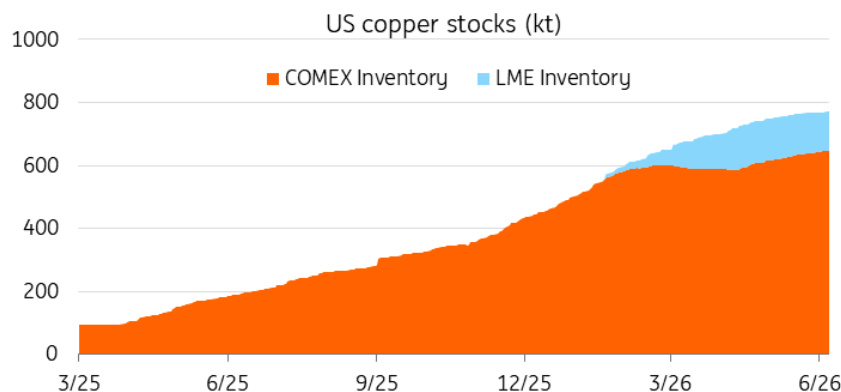
Earlier this month, Trump signed a proclamation adjusting the broader metals tariff framework – maintaining the 50% tariff on semi-finished copper products, lowering the domestic content threshold from 95% to 85% to qualify for preferential treatment, and broadening the scope to include additional semi-fabricated products such as electrical conductors and cables. New rates took effect 8 June. These changes are widely seen as preparatory steps ahead of the refined copper review, making it easier for importers to qualify for preferential treatment tied to domestically produced metal.

How the market has already repositioned

Since February, US copper imports have spiked in anticipation of the tariff deadline, encouraging additional shipments into the US and tightening supply in other regions.

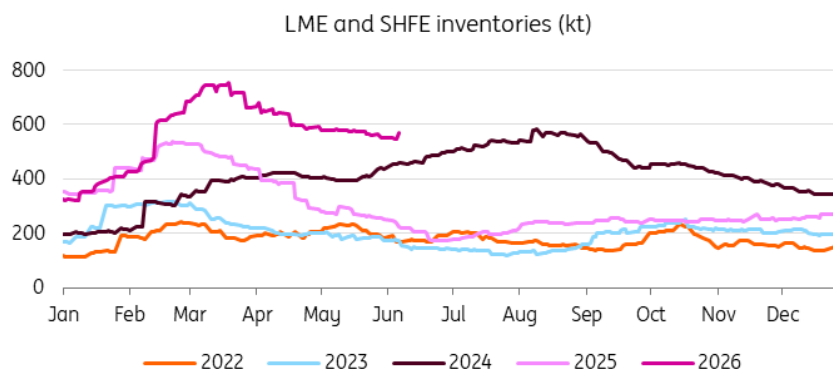
COMEX-registered inventories have risen to record highs. That build has come directly at the expense of LME and SHFE stocks, which have declined sharply over the same period.

COMEX stocks hit records, LME inventories also trend higher



Source: COMEX, LME, ING Research

Meanwhile ex-US inventories have declined sharply

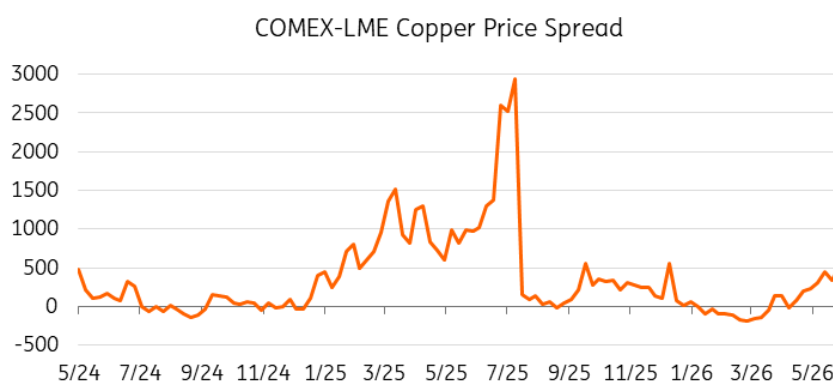


Source: LME, SHFE, ING Research

This is not a demand-driven inventory build. It reflects a geographic redistribution of available metal driven by tariff arbitrage. A significant volume of copper cathode is now economically 'locked' into the US market. While some of this metal could eventually be released if tariff expectations fade, the prospect of further trade policy measures means inventories are increasingly being held as strategic rather than 'arbitrageable'.

The COMEX-LME spread began re-widening from early 2026 as the 30 June deadline came into focus. It turned positive again in late March and has been climbing since, reaching around \$400/t in early June. At current levels, the spread is well below the peak of around \$2,937/t seen in late July 2025 when a 50% tariff on all copper was briefly feared. This suggests the market views a 15% phased tariff as a much more contained outcome.

COMEX-LME copper spread rewidens



Source: COMEX, LME, ING Research

What happens after the announcement

A confirmed 15% phased tariff from 1 January 2027 would likely increase the premium of COMEX over LME copper. In practice, both benchmarks would move higher. COMEX would be supported by stronger US import demand, while LME would also benefit as metal diverted away from the US tightens supply availability elsewhere.

The overall impact would be supportive for copper prices globally, although the larger move would likely occur in COMEX.

If the proposed increase to 30% in 2028 is brought forward or confirmed as a near-term policy objective, the premium could expand further.

A delay represents the clearest near-term downside risk for the spread, although the impact would likely be more limited than an outright rejection of tariffs. The arb would compress and the pace of inflows into COMEX would slow – but material already stockpiled in the US is unlikely to leave the market quickly. As long as tariff risks remain, a significant portion of those stocks is likely to remain effectively locked within the US market. The spread would narrow, but would probably settle at a structurally wider level than pre-2025 norms rather than collapsing back to parity.

An outright rejection of tariffs remains the most bearish case. US import demand would drop sharply, and with the stockpiling incentive removed, both benchmarks would likely come under pressure. US-held metal could then potentially re-enter the global market or at least stop being 'locked' in the US.

Supply outlook remains tight

We forecast the global copper market to move into a deficit of around 35kt in 2026, reflecting mine supply losses across Indonesia, Chile, the DRC and Zambia, alongside disruptions to Middle Eastern sulphur flows and sustained end-use demand in electrification and grid infrastructure. The tariff outcome does not change that underlying market balance.

However, it will determine how quickly the deficit becomes visible in exchange inventory data and how the price gap between COMEX and LME evolves.

We see LME copper broadly supported at current levels through 2Q, before easing modestly into 3Q and 4Q as the initial tariff stockpiling impulse fades and macro headwinds persist. The tariff announcement itself represents near-term upside risk to our near-term forecast. A front-loaded 30% tariff would put further upside in play. Conversely, a delay or outright rejection of tariffs represents the clearest downside risk to our view over the second half of the year.

The 30 June deadline and the COMEX-LME spread are the two indicators to watch most closely over the coming weeks.

Author

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 3 June 2026

UNITED KINGDOM

A Bank of England rate hike in July can't be ruled out

A June rate rise now looks unlikely amid a fall in oil prices and weaker economic data. Yet a hike in July is possible if energy flows through the Strait of Hormuz don't materially – and durably – improve over the next 10 weeks



The odds of a Bank of England rate hike in June have faded

A June rate hike no longer looks likely

Our view on the Bank of England has shifted over recent weeks.

[Six weeks ago](#), at the Bank's April meeting, it felt as though officials were edging closer to a rate hike. While policymakers looked notably more reluctant to tighten policy than their counterparts at the European Central Bank, most were also working off a more benign energy scenario than our own base case at a time when sentiment around the Middle East crisis remained fragile. Back then, we thought a June hike had become marginally more likely than not.

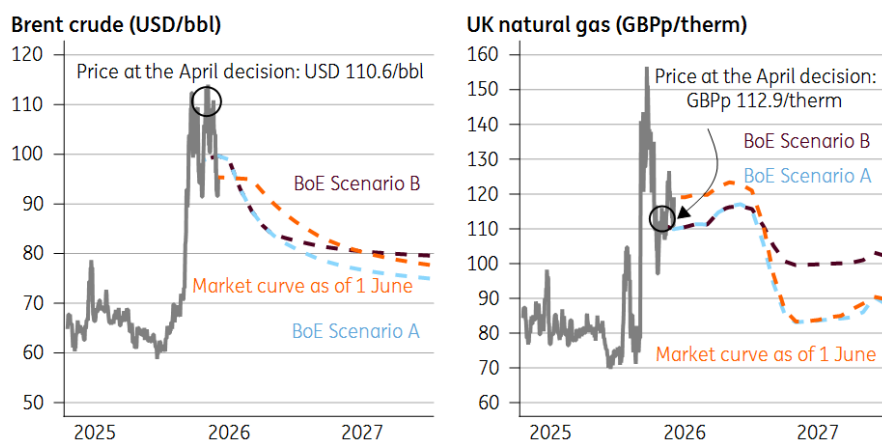
That's no longer the case. Markets are right that the odds of a hike this month have faded.

Yes, oil futures covering late 2026 and 2027 have indeed drifted higher. But that's been offset

by a \$15/bbl fall in spot prices. Even more remarkably, natural gas prices have remained subdued. That matters for Britain, given how heavily it still relies on gas and LNG.

Energy markets now sit somewhere between the Bank's April "scenario A" and "scenario B". Crucially, most officials judged at the time that neither scenario automatically warranted rate rises. In their view, simply not cutting rates – as likely would have happened absent the Iran war – already amounts to de facto tightening.

Energy prices are somewhere between the BoE's "scenario A" and "B"



Source: Macrobond, Bank of England, ING

Bank of England scenarios are based on our own calculation of the average daily futures curves in the 15 working days to 22 April 2026

We think it's particularly significant that futures prices for natural gas delivery in 6-12 months have fallen back close to pre-war levels. If that holds, July's 12% jump in household energy bills could be followed by an 8% fall in October.

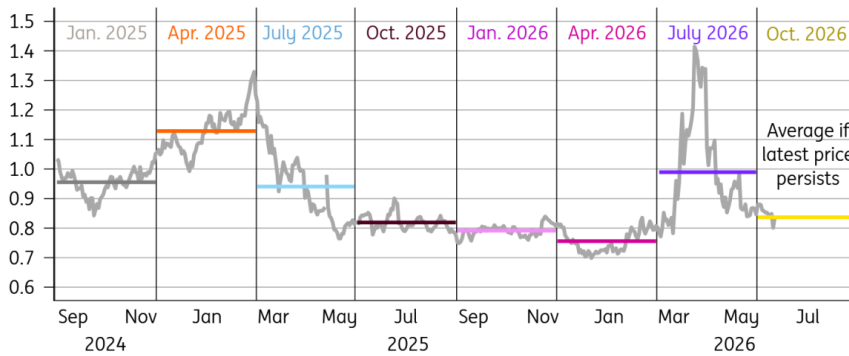
That would leave inflation peaking at around 3.7% in September before hovering near 3.5% into next spring – bearing in mind lower household energy bills into the winter will be offset by rising food inflation.

And that matters because the Bank has effectively drawn a line in the sand at 4%. Last summer, officials argued that inflation is more likely to persist if headline CPI breaches that level for any sustained period. Right now, it's not obvious that it will.

Household energy bills set to fall 8% in October on current futures prices

UK natural gas: 12 months ahead future (GBP/therm)

Solid horizontal lines show average of each Ofgem observation window



Source: Macrobond, ING

The quarterly Ofgem energy cap is calculated on a complex methodology, which heavily relies on natural gas futures 6-12 months ahead and averaged out over a three month observation window

If gas futures don't spike again, inflation peaks below 4%

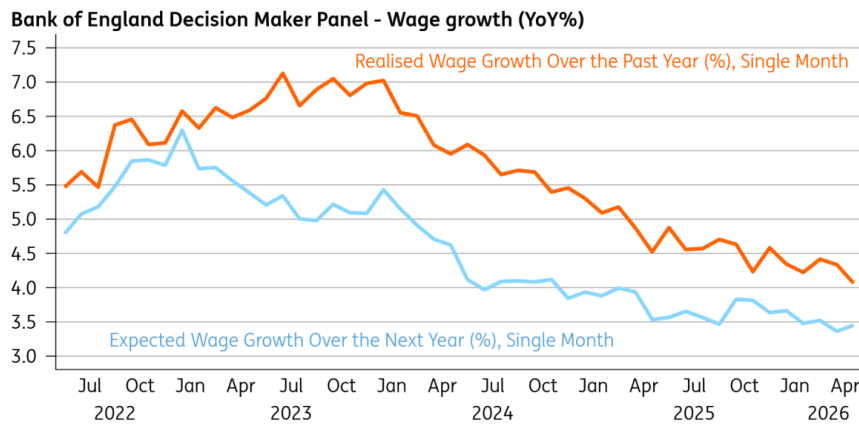
In fact, the inflation profile increasingly resembles the second half of last year, when CPI topped out at 3.8%. The catalysts are slightly different, though that period also involved a spike in food inflation, egged on by payroll tax and national insurance hikes.

Back then, hawks feared price pressures could become more entrenched. Inflation expectations had jumped sharply.

Yet that risk has not materialised – quite the opposite. Inflation data for April, which captures annual price resets at the start of the financial year, was well-behaved.

Meanwhile, the recent jobs data has been dismal. Payrolled employment fell sharply, though is liable to be revised up fairly heavily. Wage growth is dropping like a stone; private pay rose by just 0.6% annualised over the past three months, a far cry from the 8% recorded in 2023. Pay expectations among CFOs responding to the BoE's "decision maker" survey haven't budged since the crisis began, even if output price forecasts are a little higher.

Wage growth looks much more benign than four years ago



Source: Macrobond, ING

A July hike is possible if the Strait of Hormuz stays blocked

It all serves as a reminder that the UK economy is much less susceptible to second round effects than it was during the last energy shock four years ago. The economy is more fragile – and we put very little weight on the eye-popping 0.6% growth figure in the first quarter, which we think was amplified by seasonal adjustment issues.

So where does this leave rates?

Much still depends on whether a deal is reached in the coming weeks and whether that leads to a sustained recovery in energy flows. The longer the crisis drags on, the greater the risk of second-round inflation effects. For instance, our commodities team warns that natural gas prices are biased to the upside, as Europe increasingly competes with Asia for LNG cargoes.

Ultimately, central banks must weigh not just the supply chain disruption seen so far, but the risk that disruption persists through the summer and beyond.

That's why we're not ruling out a July hike if the Strait of Hormuz remains heavily disrupted. And it's why we're likely to see a greater number of officials vote for a rate hike later this month. BoE members Megan Greene and potentially Catherine Mann look likely to join Huw Pill in advocating for higher interest rates, even if Governor Andrew Bailey appears much less convinced.

We'll be taking a fresh look at our global house view on the Middle East and energy prices over the next week or so. But on our existing base case, which factors in a significant recovery in energy flows by July – and based on the current level of spot prices – the more likely scenario is a prolonged pause from the Bank of England.

Author

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.